Ceasefire Rally

S&P +2.52% to 6,783. Two-week US-Iran ceasefire reopens Hormuz. WTI plunges 17%. Semis and industrials lead.

THE SESSION

The ceasefire delivered. President Trump's announcement of a two-week suspension of strikes against Iran—paired with Tehran's agreement to coordinated reopening of the Strait of Hormuz—resolved the compressed binary that had defined markets for six weeks. The S&P 500 surged 2.52% to 6,783, the Dow gained 2.85%, and the Nasdaq rose 2.80%. The Russell 2000 led at +2.97%. The VIX fell 18.4% to 21.04.

The mechanism was oil. WTI crude collapsed roughly 17% to approximately $93 per barrel, and Brent fell about 14% to $94—the largest single-day decline in six years. The risk premium that had been baked into energy, inflation expectations, and rate policy unwound in a single session. CME FedWatch odds of a December rate cut jumped to 43% from 14% before the ceasefire. Treasury yields fell, with the 10-year declining approximately 9 basis points to 4.25%.

The rally was broad but not indiscriminate. Semiconductors and industrials led—names levered to global trade normalization and the AI infrastructure buildout that the crisis had overshadowed. Energy was the sole declining sector as the geopolitical premium compressed. Within the portfolio, the split was clean: rate-sensitive dividend holdings and growth-oriented tech rallied sharply, while the energy sleeve gave back crisis gains.

IOWN Tactical: The S&P 500 at 6,783 remains below its 2026 high, and the ceasefire is two weeks, not peace. The portfolio was built for this—cash-generative businesses and structural demand do not reset because a truce clock starts. Stay the course.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

HUT +16.65% GROWTH PORTFOLIO

Bitcoin miners surged on the broader risk-on session and crypto recovery. BTC topped $71,000 as haven flows reversed. HUT's AI data center pivot and expanded Coinbase credit facility continue to differentiate the name from pure-play miners.

LRCX +9.87% DIVIDEND STRATEGY

Semiconductor equipment rallied on trade normalization hopes and BofA's reiterated $135B industry spending forecast for 2026. Lam's dominant position in etch and deposition tools for HBM and advanced NAND positions it at the center of the AI capex cycle.

CAT +6.51% DIVIDEND STRATEGY

Industrials led the session as the ceasefire reduced global supply chain disruption fears. Caterpillar's infrastructure exposure and pricing power make it a direct beneficiary of reduced energy-driven cost pressures.

TSM +5.96% GROWTH PORTFOLIO

Taiwan Semiconductor gained on the broad tech rally. Samsung's forecast of record quarterly earnings lifted the entire foundry complex. TSM remains the picks-and-shovels play for AI infrastructure.

KEYS +5.89% GROWTH PORTFOLIO

Keysight benefited from the semiconductor supply chain rally. Test and measurement demand remains tied to the AI buildout and 5G/6G infrastructure investment.

DECLINERS

VLO –4.71% DIVIDEND STRATEGY

Refiners sold off sharply as oil's collapse compressed crack spreads and unwound the crisis premium. VLO had been a primary beneficiary of elevated energy prices during the Hormuz disruption.

CVX –4.29% GROWTH PORTFOLIO

Chevron declined with the energy complex as Brent plunged below $95. The structural supply thesis remains intact—Asaluyeh's destroyed capacity takes years to rebuild—but the near-term risk premium trade reversed.

OKE –4.26% GROWTH PORTFOLIO

Midstream names gave back recent gains as the energy risk premium compressed. ONEOK's pipeline volumes remain underpinned by domestic production, but the crisis trade unwound.

CNX –2.92% GROWTH PORTFOLIO

Natural gas producers declined as the ceasefire reduced expectations for sustained energy supply disruption and LNG premium pricing.

ADP –1.39% DIVIDEND STRATEGY

Payroll processor was the rare non-energy decliner, possibly reflecting rotation out of defensive positioning into higher-beta names as the risk-on trade accelerated.

HOLDINGS NEWS

BofA raises 2026 chip spending forecast to $135 billion. Analyst Vivek Arya named Lam Research (LRCX, Dividend Strategy) a top semiconductor equipment pick, citing AI-driven demand for advanced etch and deposition tools. The forecast implies 23% year-over-year growth in wafer fab equipment spending, with momentum extending into 2027.

Morgan Stanley launches new Bitcoin investment vehicle. The announcement is constructive for COIN (Growth Portfolio) and the digital asset sleeve broadly, expanding institutional access to crypto. IBIT (Digital Asset ETF) gained 3.38% and ETHA added 4.83% on the session.

Lockheed Martin receives $2.9B AIM-260 funding proposal for 2027. LMT (Dividend Strategy) edged up 0.13% on the session. The defense budget line item underscores the long-cycle revenue visibility that anchors the defense holdings.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+2.56%

vs. DVY +0.99% | IWS +2.58%

GROWTH PORTFOLIO ✓ BEAT

+3.17%

vs. IUSG +3.04%

YEAR-TO-DATE

Dividend +8.91% vs DVY +8.52% / IWS +6.65%

Growth +2.31% vs IUSG –3.40%